

- Support socially the family objectives (which could include entertaining customers, clients, associates; learning foreign languages; managing contacts with friends, relatives, business associates).
- Master complex tax and trust issues (not to mention subtle investment issues).
- Be emotionally mature and confident and have the depth to avoid getting distracted.

All the experts agree that someone must be in charge of the wealth. The family also needs a leader. An emotional leader. Someone in charge of the family's affective, cultural, and spiritual life. The role of the matriarch, the family manager, is absolutely critical to the development of the next generation and the family wealth. While the husband might be chief executive officer of the family business, the wife is the CEO, the chief emotional officer, of the family. She has meaningful emotional relationships with everyone in the family. The CEO can help resolve disputes between family members. She works to strengthen family bonds and maintain harmony.

THE GLUE THAT HOLDS IT ALL TOGETHER

Iphigene Ochs Sulzberger was daughter of Adolph Ochs, who acquired the *New York Times* in 1896, and the wife of Arthur Sulzberger, who published the paper following Ochs's death. Iphigene had 4 children, 14 grandchildren, and 24 great-grandchildren. One of her children said that she was "the glue that held us all together."¹

Filling the shoes of the patriarch is no small task, but neither is taking on the mantle of the matriarch, the family "glue." While there are not many hard data to support it, failure of the matriarch to build a strong, capable family is probably the root cause for the majority of wealth transfer failures. Seventy percent of family wealth transfers fail. The majority of these failures are due to family issues. These family issues usually have their roots in emotional issues. Without a CEO, these emotional issues go unresolved and unchecked. Eventually, they boil over into conflict.